FROM THE

EDITOR-IN-CHIEF

They were the two icons of India's feted start-up industry. All and sundry looked on in admiration as their valuations soared to dizzying heights. Then, recently, the free fall started. Byju Raveendran, co-founder of the eponymous edtech giant BYJU'S, had a particularly steep one. From an astounding valuation of $22 billion (Rs 1.8 lakh crore) in 2022, BYJU'S had nosedived to $220 million (Rs 1,824 crore) by the end of January 2024. That is a decline of 99 per cent. Similarly, One97 Communications, the parent company of digital payments service Paytm, had a valuation of Rs 1.1 lakh crore at the time of listing in 2021. It has now crashed to a quarter of that value. Paytm's share price, too, fell from Rs 1,564 in 2021 to Rs 393 on March 6, after the Reserve Bank of India censured it and asked it to shut down its payments bank. Its founder is Vijay Shekhar Sharma, who, like Byju, began life in mofussil India. From humble origins, both floated start-ups that became spectacular showpieces of India's new economy, emblematic of their individual domains, with millions of customers each in digital payments and digital education. But, on the inside, both companies were being hollowed out by the same bug. Call it hubris, which impels some to forget the rigours of due process and instead play fast and loose with the rules. A surprising character trait when found in otherwise brilliant minds, it can unsurprisingly prove to be a fatal flaw in business. So, an identical climax awaited both: an ignominious crash on broken wings.



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What fuelled their flight to glory? And what exactly went wrong mid-air? In this week's cover story, Managing Editor M.G. Arun in Mumbai, Associate Editor Ajay Sukumaran in Bengaluru and Senior Associate Editor Sonal Khetarpal in Delhi blend business analysis with a fascinating personality-based telling to nail down both ends. The life stories of Byju and Sharma also represent stages of India's evolution. Both grew up in non-metropolitan boroughs, with one or both parents as government schoolteachers: Byju in Azhikode, a suburb of Kannur in north Kerala, and Sharma in Uttar Pradesh's Aligarh and Harduaganj. Both aspired to break free from their small-town horizons. Neither spoke enough English for the life that awaited them. The extroverted Sharma grafted layers of vocabulary picked up from rock lyrics on top of his Hindi-medium schooling while breezing through a B.Tech. at the Delhi College of Engineering; the shy but sports-crazy Byju acquired his vocabulary by listening to cricket commentary on the radio while picking up his own engineering degree.

Here, their stories depart, only to converge much later, obeying the laws of a different time. Sharma moved early into the digital space, hawking content management systems to companies, a business he sold for about $1 million to a US company in 1999. By 2000, he had launched One97 Communications, which began as a phone directory search engine but blossomed into an array of digital financial services. This is what came to include Paytm—an acronym for 'Pay through mobile'—in 2010. Byju took a more circuitous route: teaching exam-bound friends informally while vacationing in Bengaluru in 2006 on a break from his globe-trotting work as a ship repair man. He was so good at explaining math that demand grew organically, and a vocation presented itself. From physical classes that filled auditoriums to talking to millions via video was a logical next step waiting to be taken. Byju incorporated his holding company, Think & Learn (T&L) Private Limited, in 2011 and launched its online education content engine, BYJU'S, in 2015.

Both their businesses were catapulted to stratospheric levels by Black Swan events. Demonetisation in November 2016 and its attendant push towards a cashless economy did it for Paytm, which had specialised mobile wallets and FASTag services. Full-page advertisements thanking Prime Minister Narendra Modi for "taking the boldest decision in the financial history of independent India" did his cause no harm. Rock music played in the office, and Paytm was rocking. Four years later came the pandemic, necessitating a decisive digital turn to education. This time, Byju was strapped into his cockpit and taxiing—120 million students on board. They both had businesses with great potential and had no reason to falter so disastrously had they played sensibly by the book.

For a cricket aficionado, Byju had a penchant for rash strokes, blowing up a lot of the $4.8 billion he had raised in a spurt of funding on expensive buys like Aakash Educational Services and WhiteHat Jr. He was also leaving a lot of gap between bat and ball: like not having a Chief Financial Officer for over 16 months between 2021 and 2023. This was when T&L's audited statements for 2021-22 had been delayed for a year, and its liabilities had risen six-fold to Rs 17,678 crore in that period. While his big investors were upset, a spree of angry customer complaints marred the public interface end. In June 2023, when the Covid-19 advantage had ebbed and hot money was flowing back to the US, three investors resigned from the board, saying the executive leadership "regularly disregarded advice and recommendations relating to strategic, operational, legal and corporate governance matters". In February, a clutch of investors at an extraordinary general meeting even voted to remove the founder from control of the company. BYJU'S, whose employee strength had dropped from 55,000 to 15,000, could not even pay them salaries because of court disputes. Sharma, meanwhile, was being assailed by the RBI, which had regularly red-flagged Paytm's habitual regulatory chicanery, including poor supervision over its digital wallet transactions. When the RBI had an external audit done of Paytm Payment Bank's account in October 2023, it found "persistent non-compliance" with KYC norms that had the potential to lead to fraud. It then dealt a body blow to Sharma by asking him to wind up Paytm's FASTag and payments bank operations.

Both Sharma and Byju have promised to rebuild, but their story is a cautionary tale for our times. The fall of the two poster boys of digital India shows that while start-ups can dream big, they should remain rooted in good corporate governance. Or they become victims of cowboy capitalism.

(Aroon Purie)